ANNUAL OPERATING BUDGET

Banyan Marketplace | San Antonio, TX

Property	Banyan Marketplace
Fiscal Year	2019
Submitted By	Elmstead Asset Services
Submitted	May 5, 2024

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$80,533	$86,120	$88,744	$8,210	10.2%	$2,465.10
5010 Loss to Lease	$254,569	$264,335	$278,876	$24,307	9.5%	$7,746.54
5020 Vacancy Loss	$561,052	$566,082	$578,209	$17,156	3.1%	$16,061.36
5030 Concessions	$296,628	$287,220	$301,246	$4,618	1.6%	$8,367.94
5040 Bad Debt	$384,837	$377,003	$389,692	$4,855	1.3%	$10,824.77
5050 Late Fees	$477,171	$457,921	$466,859	-$10,312	-2.2%	$12,968.29
5060 Utility Reimbursements	$129,456	$119,493	$127,342	-$2,114	-1.6%	$3,537.28
5070 Parking Income	$546,206	$586,569	$625,646	$79,440	14.5%	$17,379.05
5080 Application Fees	$463,279	$468,319	$477,732	$14,453	3.1%	$13,270.34
5090 Pet Rent	$207,904	$199,037	$212,873	$4,969	2.4%	$5,913.14
5100 Laundry Income	$40,897	$39,801	$40,360	-$537	-1.3%	$1,121.10
5110 Cable/Internet Revenue	$455,665	$480,824	$485,092	$29,427	6.5%	$13,474.77
5120 CAM Reimbursements	$272,232	$293,256	$313,103	$40,871	15.0%	$8,697.29
5130 Tax Reimbursements	$570,945	$542,868	$562,374	-$8,571	-1.5%	$15,621.50
5140 Insurance Reimbursements	$270,336	$256,558	$262,755	-$7,581	-2.8%	$7,298.76
5150 Percentage Rent	$273,522	$279,600	$280,093	$6,571	2.4%	$7,780.37
5160 Misc. Income	$161,590	$160,368	$165,688	$4,098	2.5%	$4,602.45
5170 Payroll - Management	$106,225	$110,400	$112,551	$6,326	6.0%	$3,126.42
5180 Payroll - Leasing	$136,396	$125,519	$125,760	-$10,636	-7.8%	$3,493.33
5190 Payroll - Maintenance	$170,436	$174,578	$177,745	$7,309	4.3%	$4,937.35
5200 Payroll Taxes & Benefits	$274,197	$271,066	$278,005	$3,808	1.4%	$7,722.36
5210 Repairs - Plumbing	$240,783	$250,898	$259,746	$18,963	7.9%	$7,215.16
5220 Repairs - HVAC	$301,883	$315,058	$317,808	$15,925	5.3%	$8,827.99
5230 Repairs - Electrical	$424,054	$397,040	$423,066	-$988	-0.2%	$11,751.83

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5400 Advertising	$293,756	$301,365	$318,547	$24,791	8.4%	$8,848.52
5410 Resident Events	$248,132	$245,642	$259,667	$11,535	4.6%	$7,212.98
5420 Office Supplies	$29,301	$28,748	$29,461	$160	0.5%	$818.35
5430 Legal & Professional	$225,947	$226,373	$239,471	$13,524	6.0%	$6,651.97
5440 Accounting & Audit	$463,746	$479,293	$510,176	$46,430	10.0%	$14,171.55
5450 Licenses & Permits	$300,153	$315,304	$324,949	$24,796	8.3%	$9,026.36
5460 Management Fee	$29,397	$30,975	$32,553	$3,155	10.7%	$904.24
5470 Property Insurance	$418,417	$387,881	$392,160	-$26,257	-6.3%	$10,893.34
5480 Real Estate Taxes	$349,201	$374,254	$384,886	$35,684	10.2%	$10,691.27
5490 Asset Management Fee	$239,059	$251,082	$263,486	$24,427	10.2%	$7,319.05
5500 Replacement Reserves	$424,363	$447,277	$455,432	$31,069	7.3%	$12,650.89
5510 Roof Repairs	$143,156	$151,821	$162,139	$18,983	13.3%	$4,503.86
5520 Parking Lot Repairs	$141,796	$144,911	$153,673	$11,877	8.4%	$4,268.69
5530 Signage	$312,433	$312,469	$327,554	$15,121	4.8%	$9,098.71
5540 Tenant Improvements	$400,551	$405,986	$433,252	$32,700	8.2%	$12,034.77
5550 Leasing Commissions	$205,188	$220,182	$225,817	$20,628	10.1%	$6,272.68
5000 Gross Potential Rent	$334,747	$324,706	$341,230	$6,484	1.9%	$9,478.62
5010 Loss to Lease	$143,008	$147,176	$156,528	$13,520	9.5%	$4,348.00
5020 Vacancy Loss	$511,061	$501,907	$509,162	-$1,899	-0.4%	$14,143.38
5030 Concessions	$289,027	$303,893	$324,038	$35,012	12.1%	$9,001.06
5040 Bad Debt	$218,297	$209,035	$220,046	$1,749	0.8%	$6,112.38
5050 Late Fees	$456,554	$432,659	$455,252	-$1,302	-0.3%	$12,645.88
5060 Utility Reimbursements	$364,276	$357,171	$372,019	$7,743	2.1%	$10,333.86
5070 Parking Income	$257,216	$272,023	$282,603	$25,387	9.9%	$7,850.09
5080 Application Fees	$430,123	$444,505	$468,556	$38,433	8.9%	$13,015.45
5090 Pet Rent	$565,034	$608,566	$609,380	$44,346	7.8%	$16,927.22
5100 Laundry Income	$420,367	$444,181	$450,695	$30,328	7.2%	$12,519.32
5110 Cable/Internet Revenue	$352,183	$338,345	$338,967	-$13,216	-3.8%	$9,415.75
5120 CAM Reimbursements	$173,166	$174,141	$185,856	$12,690	7.3%	$5,162.66
5130 Tax Reimbursements	$63,584	$60,884	$64,418	$834	1.3%	$1,789.38
5140 Insurance Reimbursements	$135,856	$140,322	$147,396	$11,541	8.5%	$4,094.35
5150 Percentage Rent	$172,890	$179,077	$188,275	$15,384	8.9%	$5,229.85
5160 Misc. Income	$286,594	$283,820	$288,739	$2,145	0.7%	$8,020.54
5170 Payroll - Management	$408,661	$417,439	$420,610	$11,949	2.9%	$11,683.61
5180 Payroll - Leasing	$298,703	$294,367	$314,260	$15,557	5.2%	$8,729.46
5190 Payroll - Maintenance	$403,263	$393,071	$407,843	$4,580	1.1%	$11,328.96
5200 Payroll Taxes & Benefits	$321,810	$310,898	$330,707	$8,897	2.8%	$9,186.30
5210 Repairs - Plumbing	$67,488	$66,938	$67,603	$115	0.2%	$1,877.85
5220 Repairs - HVAC	$512,829	$549,010	$582,770	$69,941	13.6%	$16,188.04
5230 Repairs - Electrical	$192,327	$196,947	$208,602	$16,275	8.5%	$5,794.50

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Income and Expense Review

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The going-in capitalization rate of 5.26% reflects the in-place income and the stabilized occupancy assumption. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Operating expenses totaled $212,000 or approximately 7.69 per square foot, with real estate taxes representing the largest line item. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Debt service coverage ratio was 6.45x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 4.3% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $233,000, representing a 2.3% increase over the prior year. Operating expenses totaled $230,000 or approximately 45.60 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 5.6% over the hold period.

Management Commentary

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 88.3% of billed charges, with bad debt of 7.0% of gross potential income. Average rent is $23 per square foot with parking at a ratio of 22 spaces per 1,000 square feet. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Service requests are tracked through a work-order system with an average completion time of 6 hours. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Collections for the period were 89.4% of billed charges, with bad debt of 4.5% of gross potential income. Average rent is $23 per square foot with parking at a ratio of 26 spaces per 1,000 square feet. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Operating Performance

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Operating expenses totaled $302,000 or approximately 24.55 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 5.57x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 5.29% reflects the in-place income and the stabilized occupancy assumption.

Operating expenses totaled $418,000 or approximately 30.12 per square foot, with real estate taxes representing the largest line item. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Debt service coverage ratio was 7.61x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $324,000, representing a 9.3% increase over the prior year. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Property Operations

Average rent is $23 per square foot with parking at a ratio of 28 spaces per 1,000 square feet. The manager completes a monthly walk of the property and submits a variance report to the owner by the 24th business day. Service requests are tracked through a work-order system with an average completion time of 32 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 37 additional team members.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Income and Expense Review

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Effective gross income for the trailing period was $378,000, representing a 9.1% increase over the prior year. Debt service coverage ratio was 7.63x on a trailing basis against a covenant minimum of 1.20x.

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5240 Repairs - Appliances	$521,492	$527,116	$551,384	$29,892	5.7%	$15,316.22
5250 Painting & Decorating	$80,919	$78,946	$82,361	$1,443	1.8%	$2,287.81
5260 Flooring	$403,923	$433,614	$439,779	$35,856	8.9%	$12,216.08
5270 Make-Ready / Turnover	$333,791	$345,626	$360,653	$26,861	8.0%	$10,018.13
5280 Landscaping Contract	$30,457	$30,119	$30,473	$17	0.1%	$846.48
5290 Snow Removal	$56,477	$58,208	$60,307	$3,829	6.8%	$1,675.18
5300 Janitorial	$327,858	$337,796	$347,843	$19,985	6.1%	$9,662.30
5310 Pest Control	$76,095	$71,617	$74,901	-$1,193	-1.6%	$2,080.59
5320 Trash Removal	$406,211	$386,987	$389,915	-$16,296	-4.0%	$10,830.96
5330 Elevator Contract	$314,333	$332,774	$349,187	$34,853	11.1%	$9,699.63
5340 Fire & Life Safety	$417,953	$384,931	$388,766	-$29,187	-7.0%	$10,799.07
5350 Security	$34,049	$35,244	$37,530	$3,481	10.2%	$1,042.49
5360 Electricity - Common	$141,807	$138,329	$143,727	$1,920	1.4%	$3,992.42
5370 Gas - Common	$169,900	$162,198	$173,397	$3,496	2.1%	$4,816.57
5380 Water & Sewer	$130,581	$128,803	$134,791	$4,209	3.2%	$3,744.18
5390 Telephone/Internet	$385,550	$358,439	$359,739	-$25,812	-6.7%	$9,992.74
5400 Advertising	$474,484	$472,896	$487,191	$12,707	2.7%	$13,533.08
5410 Resident Events	$85,355	$84,613	$88,815	$3,461	4.1%	$2,467.09
5420 Office Supplies	$350,588	$333,023	$349,734	-$854	-0.2%	$9,714.83
5430 Legal & Professional	$33,151	$34,873	$36,048	$2,897	8.7%	$1,001.32
5440 Accounting & Audit	$266,754	$287,310	$292,242	$25,488	9.6%	$8,117.83
5450 Licenses & Permits	$582,440	$624,615	$647,520	$65,079	11.2%	$17,986.66
5460 Management Fee	$177,766	$169,022	$180,289	$2,523	1.4%	$5,008.03
5470 Property Insurance	$466,761	$433,351	$437,961	-$28,800	-6.2%	$12,165.60
5480 Real Estate Taxes	$456,101	$454,550	$481,510	$25,409	5.6%	$13,375.28
5490 Asset Management Fee	$139,347	$138,965	$147,671	$8,325	6.0%	$4,101.98
5500 Replacement Reserves	$284,145	$278,985	$293,787	$9,642	3.4%	$8,160.74
5510 Roof Repairs	$315,986	$337,679	$352,377	$36,391	11.5%	$9,788.24
5520 Parking Lot Repairs	$373,707	$385,696	$411,415	$37,708	10.1%	$11,428.20
5530 Signage	$510,941	$483,291	$490,253	-$20,688	-4.0%	$13,618.13
5540 Tenant Improvements	$285,046	$291,415	$309,347	$24,300	8.5%	$8,592.97
5550 Leasing Commissions	$54,210	$55,348	$56,166	$1,955	3.6%	$1,560.16
5000 Gross Potential Rent	$78,640	$74,627	$76,204	-$2,435	-3.1%	$2,116.79
5010 Loss to Lease	$174,569	$161,414	$168,282	-$6,288	-3.6%	$4,674.49
5020 Vacancy Loss	$292,602	$315,368	$325,824	$33,222	11.4%	$9,050.67
5030 Concessions	$119,518	$121,960	$129,452	$9,934	8.3%	$3,595.88
5040 Bad Debt	$52,610	$55,955	$58,760	$6,150	11.7%	$1,632.23
5050 Late Fees	$331,301	$310,203	$329,128	-$2,173	-0.7%	$9,142.46
5060 Utility Reimbursements	$257,730	$245,713	$262,549	$4,819	1.9%	$7,293.04
5070 Parking Income	$81,246	$75,553	$75,922	-$5,323	-6.6%	$2,108.96

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Financial Analysis

Net operating income is projected to grow at a compound annual rate of 5.3% over the hold period. Average rent is $23 per square foot with parking at a ratio of 40 spaces per 1,000 square feet. Management fees are calculated at 6.3% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $438,000, representing a 13.4% increase over the prior year.

Debt service coverage ratio was 6.61x on a trailing basis against a covenant minimum of 1.20x. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The going-in capitalization rate of 6.78% reflects the in-place income and the stabilized occupancy assumption. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Average rent is $23 per square foot with parking at a ratio of 38 spaces per 1,000 square feet. Net operating income is projected to grow at a compound annual rate of 4.7% over the hold period.

Leasing and Marketing

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Average rent is $23 per square foot with parking at a ratio of 40 spaces per 1,000 square feet. The manager completes a monthly walk of the property and submits a variance report to the owner by the 10th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 19 additional team members. Collections for the period were 90.3% of billed charges, with bad debt of 7.7% of gross potential income.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 31 additional team members. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The manager completes a monthly walk of the property and submits a variance report to the owner by the 7th business day. Average rent is $23 per square foot with parking at a ratio of 30 spaces per 1,000 square feet. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Financial Analysis

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Average rent is $23 per square foot with parking at a ratio of 21 spaces per 1,000 square feet. Management fees are calculated at 4.3% of collected revenue and are included in operating expenses. Operating expenses totaled $343,000 or approximately 19.17 per square foot, with real estate taxes representing the largest line item.

Operating expenses totaled $31,000 or approximately 29.91 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 3.0% over the hold period. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Average rent is $23 per square foot with parking at a ratio of 34 spaces per 1,000 square feet. Management fees are calculated at 5.4% of collected revenue and are included in operating expenses.

Property Operations

The manager completes a monthly walk of the property and submits a variance report to the owner by the 40th business day. Collections for the period were 90.3% of billed charges, with bad debt of 7.0% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 16 hours. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Average rent is $23 per square foot with parking at a ratio of 43 spaces per 1,000 square feet. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 36 additional team members. Collections for the period were 94.6% of billed charges, with bad debt of 7.6% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 23th business day.

Income and Expense Review

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5080 Application Fees	$41,397	$40,614	$41,841	$444	1.1%	$1,162.25
5090 Pet Rent	$255,926	$264,000	$272,708	$16,782	6.6%	$7,575.23
5100 Laundry Income	$374,708	$380,432	$385,542	$10,834	2.9%	$10,709.51
5110 Cable/Internet Revenue	$516,361	$532,384	$561,920	$45,559	8.8%	$15,608.89
5120 CAM Reimbursements	$439,046	$411,472	$411,881	-$27,165	-6.2%	$11,441.14
5130 Tax Reimbursements	$33,211	$33,958	$34,836	$1,625	4.9%	$967.68
5140 Insurance Reimbursements	$265,156	$262,532	$272,689	$7,533	2.8%	$7,574.69
5150 Percentage Rent	$193,263	$203,056	$203,185	$9,922	5.1%	$5,644.03
5160 Misc. Income	$333,616	$333,296	$341,715	$8,099	2.4%	$9,492.08
5170 Payroll - Management	$427,150	$439,541	$439,890	$12,740	3.0%	$12,219.17
5180 Payroll - Leasing	$429,625	$425,752	$442,550	$12,925	3.0%	$12,293.05
5190 Payroll - Maintenance	$436,883	$441,128	$446,223	$9,340	2.1%	$12,395.09
5200 Payroll Taxes & Benefits	$220,113	$203,992	$206,684	-$13,429	-6.1%	$5,741.22
5210 Repairs - Plumbing	$191,838	$180,921	$183,726	-$8,112	-4.2%	$5,103.49
5220 Repairs - HVAC	$334,587	$355,231	$371,004	$36,417	10.9%	$10,305.66
5230 Repairs - Electrical	$247,654	$233,828	$236,723	-$10,931	-4.4%	$6,575.65
5240 Repairs - Appliances	$284,713	$286,247	$299,170	$14,457	5.1%	$8,310.27
5250 Painting & Decorating	$223,555	$219,199	$225,181	$1,626	0.7%	$6,255.02
5260 Flooring	$522,382	$545,421	$571,597	$49,215	9.4%	$15,877.69
5270 Make-Ready / Turnover	$161,705	$161,164	$163,158	$1,453	0.9%	$4,532.16
5280 Landscaping Contract	$58,463	$59,981	$60,299	$1,836	3.1%	$1,674.97
5290 Snow Removal	$533,231	$575,705	$609,304	$76,072	14.3%	$16,925.11
5300 Janitorial	$123,768	$126,789	$131,178	$7,410	6.0%	$3,643.84
5310 Pest Control	$281,834	$274,214	$282,789	$955	0.3%	$7,855.24
5320 Trash Removal	$151,592	$154,708	$156,592	$5,000	3.3%	$4,349.77
5330 Elevator Contract	$417,086	$409,894	$434,790	$17,704	4.2%	$12,077.50
5340 Fire & Life Safety	$400,870	$388,686	$412,285	$11,415	2.8%	$11,452.36
5350 Security	$534,568	$523,536	$545,585	$11,018	2.1%	$15,155.15
5360 Electricity - Common	$233,003	$221,953	$225,490	-$7,513	-3.2%	$6,263.61
5370 Gas - Common	$567,845	$565,036	$571,680	$3,835	0.7%	$15,879.99
5380 Water & Sewer	$576,376	$574,595	$599,451	$23,075	4.0%	$16,651.41
5390 Telephone/Internet	$465,603	$453,421	$483,445	$17,842	3.8%	$13,429.04
5400 Advertising	$206,812	$219,651	$226,625	$19,813	9.6%	$6,295.13
5410 Resident Events	$571,553	$576,643	$612,974	$41,421	7.2%	$17,027.05
5420 Office Supplies	$243,851	$248,004	$256,243	$12,392	5.1%	$7,117.86
5430 Legal & Professional	$102,204	$94,143	$94,198	-$8,006	-7.8%	$2,616.61
5440 Accounting & Audit	$81,151	$86,671	$86,758	$5,607	6.9%	$2,409.94
5450 Licenses & Permits	$196,426	$198,214	$208,970	$12,544	6.4%	$5,804.72
5460 Management Fee	$65,907	$68,578	$71,192	$5,286	8.0%	$1,977.57
5470 Property Insurance	$510,334	$545,538	$576,639	$66,305	13.0%	$16,017.75

Report generated 05/05/2024. Figures are unaudited and subject to change.

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Operating Performance

Net operating income is projected to grow at a compound annual rate of 4.6% over the hold period. Debt service coverage ratio was 6.33x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $72,000 or approximately 36.59 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $134,000, representing a 2.9% increase over the prior year.

Management fees are calculated at 5.5% of collected revenue and are included in operating expenses. Debt service coverage ratio was 5.97x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $34,000, representing a 8.4% increase over the prior year. Operating expenses totaled $272,000 or approximately 30.54 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 5.5% over the hold period.

Management Commentary

The manager completes a monthly walk of the property and submits a variance report to the owner by the 18th business day. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Collections for the period were 88.1% of billed charges, with bad debt of 3.0% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 92.5% of billed charges, with bad debt of 3.6% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 36 additional team members. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Operating Performance

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Net operating income is projected to grow at a compound annual rate of 7.4% over the hold period. The going-in capitalization rate of 8.16% reflects the in-place income and the stabilized occupancy assumption.

Management fees are calculated at 7.1% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Net operating income is projected to grow at a compound annual rate of 7.5% over the hold period.

Management Commentary

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 16 additional team members. Collections for the period were 95.1% of billed charges, with bad debt of 4.7% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 4th business day. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Service requests are tracked through a work-order system with an average completion time of 11 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Operating Performance

The going-in capitalization rate of 5.94% reflects the in-place income and the stabilized occupancy assumption. Average rent is $23 per square foot with parking at a ratio of 42 spaces per 1,000 square feet. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Management fees are calculated at 7.7% of collected revenue and are included in operating expenses.

Management fees are calculated at 6.9% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 5.5% over the hold period. The going-in capitalization rate of 5.46% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 6.70x on a trailing basis against a covenant minimum of 1.20x. Average rent is $23 per square foot with parking at a ratio of 29 spaces per 1,000 square feet. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

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Summary and Notes

Financial Analysis

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Management fees are calculated at 7.7% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $271,000, representing a 3.3% increase over the prior year. The going-in capitalization rate of 6.56% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 7.37x on a trailing basis against a covenant minimum of 1.20x. Average rent is $23 per square foot with parking at a ratio of 22 spaces per 1,000 square feet.

Management fees are calculated at 5.6% of collected revenue and are included in operating expenses. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Average rent is $23 per square foot with parking at a ratio of 9 spaces per 1,000 square feet. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Leasing and Marketing

Service requests are tracked through a work-order system with an average completion time of 22 hours. Collections for the period were 91.5% of billed charges, with bad debt of 3.3% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 2th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Average rent is $23 per square foot with parking at a ratio of 8 spaces per 1,000 square feet. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 94.9% of billed charges, with bad debt of 7.5% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 13th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

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